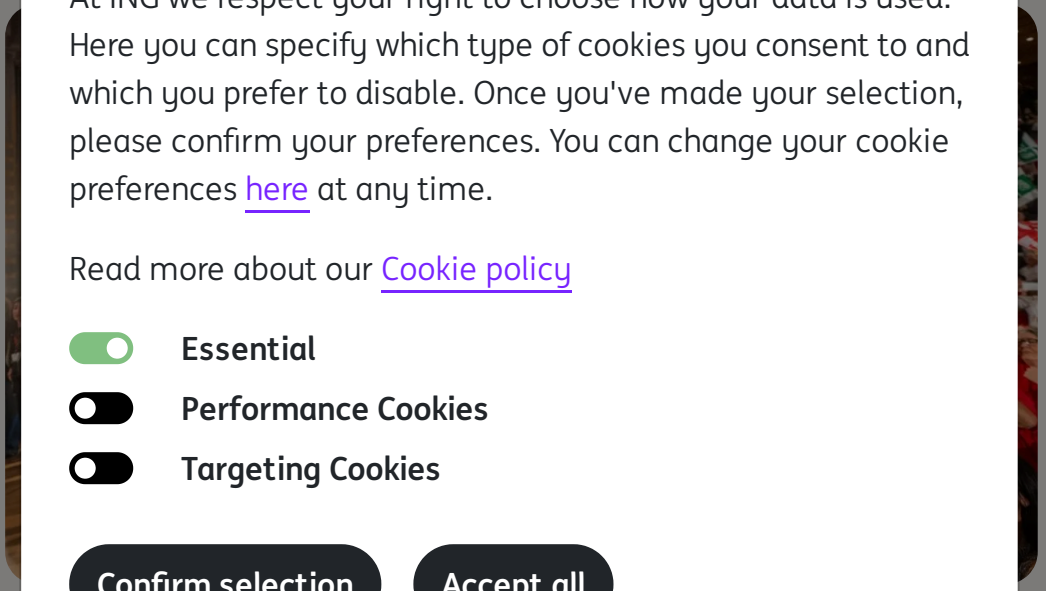
Spain's economy continued to outperform the eurozone's in 3Q, despite rising unemployment and inflation near 5%. A month before the election, housing remains a key issue, alongside migration, political controversies, and concerns about public infrastructure and services. Yet strong growth is translating into more limited gains per person



Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Confirm selection

Accept all

Spain's general election campaign has been overshadowed by Wednesday's deadly collision between two high-speed trains near Urda, in the Toledo province. At least 69 people were killed and dozens injured, prompting most major political parties to suspend their campaign activities. The circumstances remain under investigation. However, with the central government responsible for managing the national rail infrastructure, the accident is likely to put rail safety and the government's handling of public services at the centre of the political debate when campaigning resumes.

Alongside existing controversies, including corruption allegations involving figures associated with the Socialist Party, it could further complicate Prime Minister Pedro Sánchez's re-election campaign.

When campaigning resumes, attention will return to an election in which the economy presents a strikingly mixed picture. Spain remains one of the eurozone's strongest performers, yet this has not translated into a lead in the polls for Sánchez's Socialist Party.

The latest figures illustrate that tension. GDP expanded by 0.6% quarter-on-quarter in the third quarter and by 2.7% compared with a year earlier. Growth therefore slowed only modestly from the p
n

T
r
E
1
s
e

I
a
S
s

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Real GDP growth, YoY	2.7% (Q3 2026)	2.6% (Q2 2026)
Unemployment rate	10.18% (Q3 2026)	9.87% (Q2 2026)
Employment change, QoQ (unadjusted)	+73,600 (Q3 2026)	+486,000 (Q2 2026)
Labour-force change, QoQ (unadjusted)	+169,500 (Q3 2026)	+272,700 (Q2 2026)
HICP inflation, YoY	4.9% (Oct. 2026)	5.0% (Sept. 2026)
Retail sales, YoY	-1.4% (Sep. 2026)	-0.5% (Aug. 2026)

Source: LSEG Workspace, INE, ING Economic Research

Why Spain is voting early

The election on 29 November comes about eight months before the parliamentary term is scheduled to end. The centre-right People's Party won the most seats in the 2023 election but could

not assemble a parliamentary majority. That allowed Sánchez to remain in office with the backing of parties on the left and several Catalan and Basque nationalist parties.

The resulting parliamentary majority proved fragile. The government has not secured parliamentary approval for a new state budget since the 2023 budget was passed, leaving Spain to operate with successive budget extensions. Its position has also been weakened by a series of investigations and court cases involving senior Socialist figures and members of the prime minister's family, disagreements among the parties on the left and growing concerns about immigration and housing affordability.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

indicate that the People's Party and Vox could together secure a majority in the 350-seat Congress.

Social policy moves into campaign mode

Despite the dissolution of parliament, the outgoing government has continued to approve measures through the Council of Ministers. The government has presented these pre-election meetings as "Social Tuesdays", with the first package combining changes to social-security benefits with more than €225m in housing and university accommodation support.

The 2027 minimum wage increase could provide the government with another opportunity to foreground social policy before the election. By contrast, CPI-linked pension increases and the agreed public sector pay rises largely reflect existing commitments rather than new campaign initiatives. Together, however, they underline the expenditure pressures that the next government will inherit. The monthly contributory-pension bill reached €14.54bn in October, 6.3% more than a year earlier.

Different answers to Spain's housing crisis

Housing remains one of Spain's most pressing economic and social c
c
t
g

T
r
f
c
h
t
a

T
a
p
g
during the next parliamentary term. He also promised a new Land Law within the government's first 100 days, faster administrative procedures and closer cooperation with regional and municipal authorities to make more land available for development.

The party has additionally proposed mortgage guarantees covering up to 100% of the purchase price of a first home and a 60% reduction in VAT and property-transfer tax for buyers under 40. These measures could lower the initial barrier to homeownership, although supporting purchasing power without a sufficiently large supply response could also add to price pressures.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

The underlying shortage is substantial. As we highlighted earlier this month, Spain added approximately 1.22 million households between 2021 and 2025 but completed only around 466,000 homes. House prices were still increasing by 12.2% year-on-year in the second quarter of 2026.

Strong growth, but a less convincing improvement per person

Spain's economic outperformance is more convincing in aggregate than at the household level. Population growth has supported employment, consumption and overall GDP, but it also means that o
g
b
f
i

A
c
h
a
e
r
n

L

momentum dramatically. Although the parties differ on housing, taxation, labour-market regulation and public spending, the campaign has so far not centred on a comprehensive overhaul of economic policy. Any new government is also likely to depend on coalition partners or wider parliamentary support, meaning that campaign proposals may be moderated, renegotiated or delayed. Even where significant policy changes are agreed, they would take time to feed through to economic activity.

In the meantime, the near-term outlook will depend more on the energy shock and monetary tightening than on the vote.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Investment support from the Recovery and Resilience Plan should also fade gradually now that the plan has formally ended. The medium-term consequences of the election could nevertheless be more important: a stable parliamentary majority could facilitate budgets and reforms, while another fragmented parliament could prolong Spain's recent legislative difficulties.

Spain Inflation Housing GDP Eurozone

Content Disclaimer

This publication has been prepared by ING solely for information purposes

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies